



Industrials Team

Rentokil
Initial

Rentokil Initial Plc

Target price: 726.50p (+55.13%)

16th November 2023

Overview of Investment Thesis

Why Rentokil is an attractive stock

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Our thesis

1

Quality and stability of cash flow generation under appreciated by market

2

Successful integration of Terminix (2nd largest US competitor)

3

Growth in markets outside the US

Stock price performance (GBp)



Ticker: RTO

LON: FTSE 100

GBp 468.30^(a)

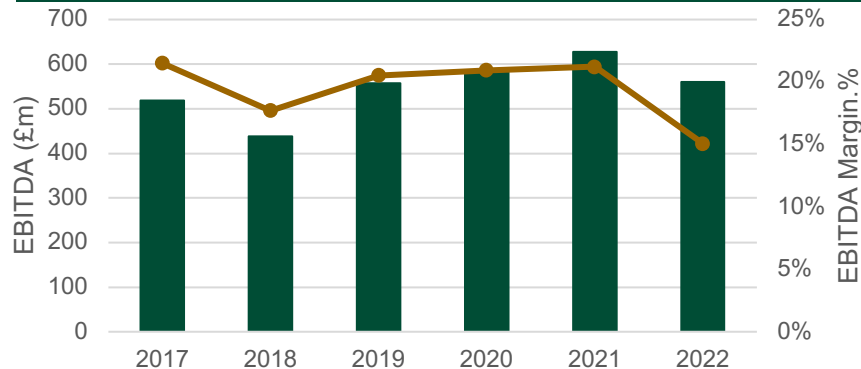
Background on Rentokil

Rentokil is a high-quality business service company

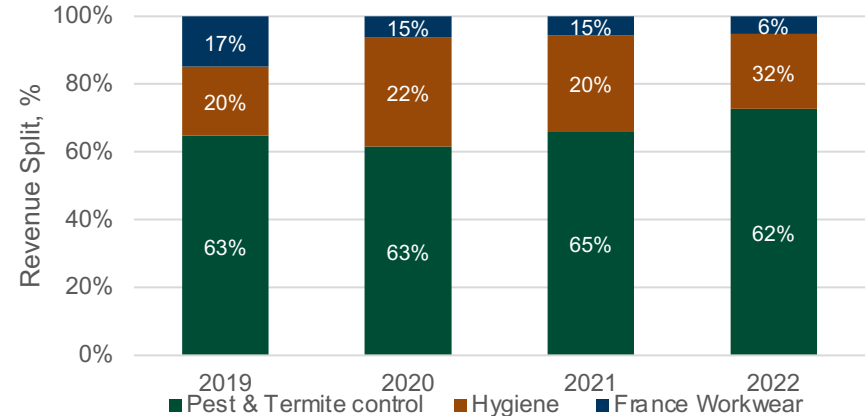


- Rentokil is a European business services company focused on pest control, with large NA exposure
- c60% of RTO's market exposure is pest control
- Recurring revenue:** c70% of order intakes from contract services
- Structural growth:** M&A revenue growth rate increase by 61% CAGR from 2017-2022
- Higher margins:** EBITDA margins at 20% historically
- Higher returns:** ROIC averages at c11% 2017-2022
- ESG:** Lower emissions & humane pest control

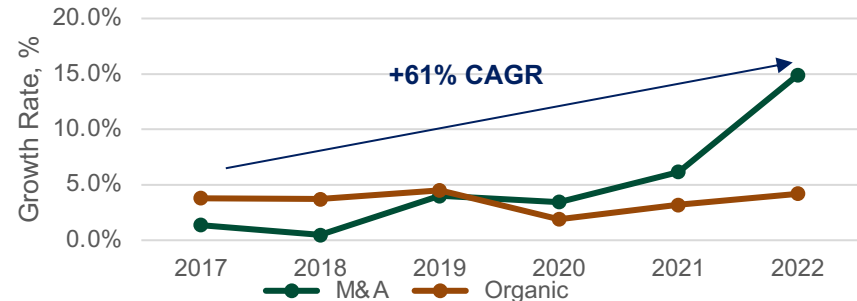
EBITDA margin averages to c20% in 2017-2022



c60% of RTO's revenue is pest control



RTO's structural growth is driven by M&A

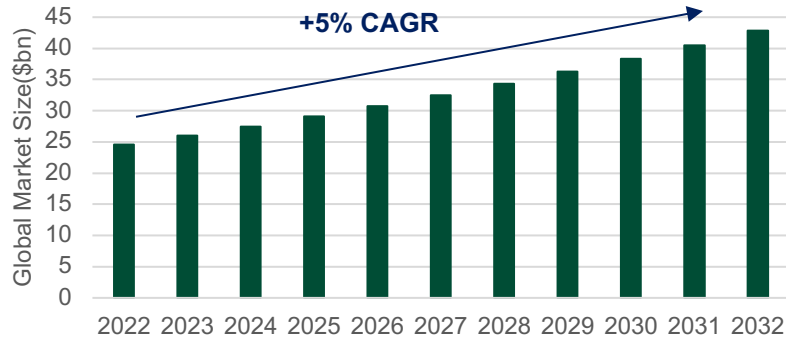


The Global Pest Control Market

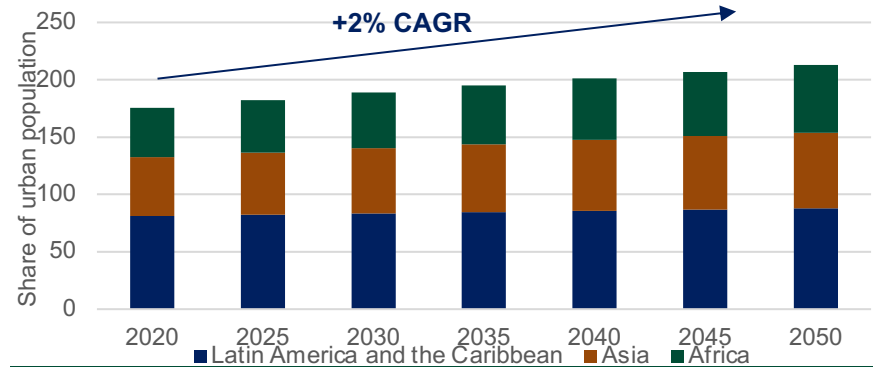
Industry sets to accelerate substantially in North America and Emerging Markets



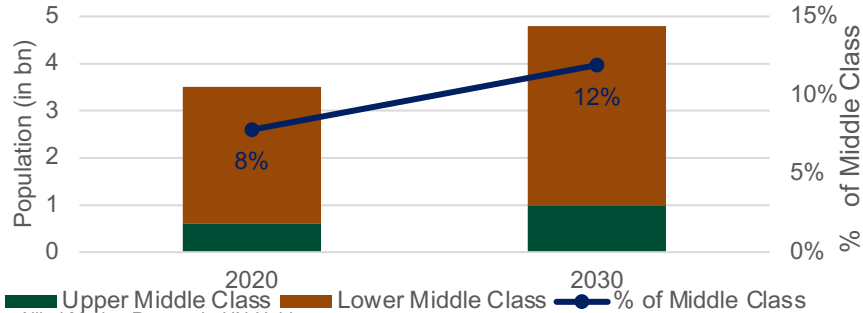
Top-line market forecasts 5% CAGR in 10 years



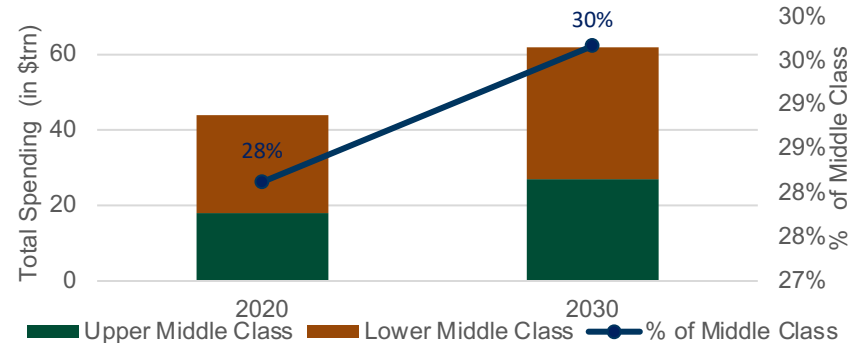
...and is assured by increasing urbanisation in EM



Increased global middle-class population...



...underpins total spending of +3% CAGR

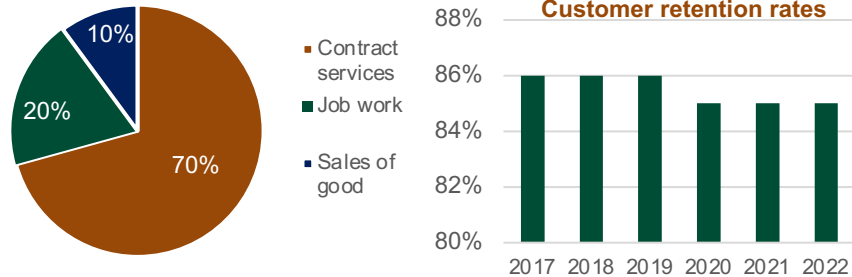


1) Quality and stability of cash flows

Market has extrapolated a recent downturn into a trend. Our analysis says different...

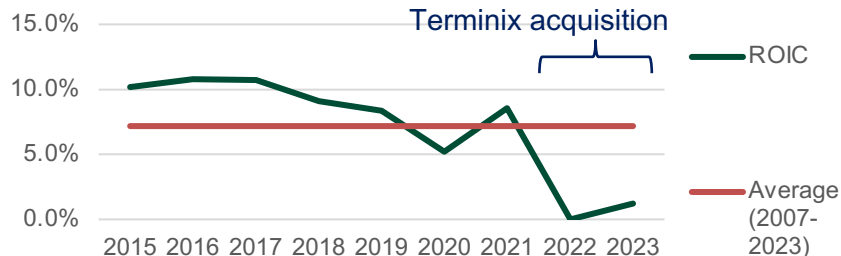
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Contract based business with high retention

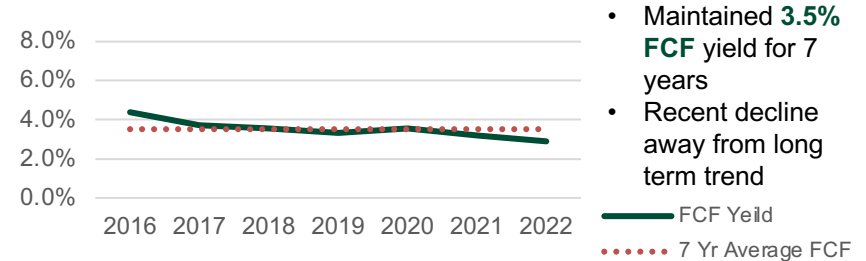


- Stable revenue generation
- Ability to **pass costs** through (wage and COGS inflation)
- Continued market leading **customer retention rates** ~ 85%

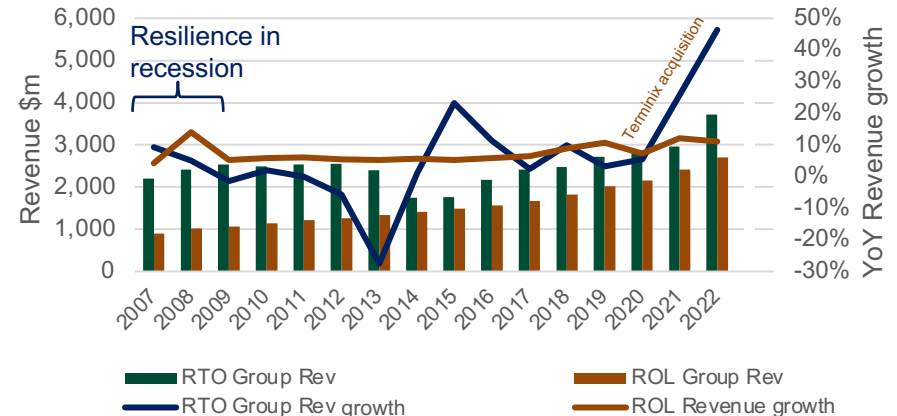
Management effective: ROIC consistent



FCF through the cycle



US Pest control revenues remain resilient

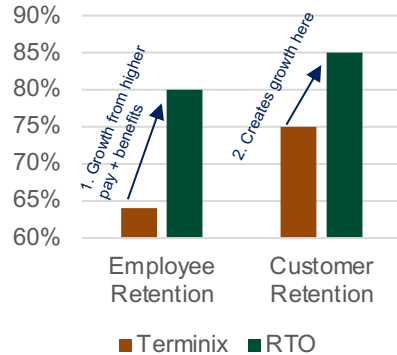


2) Successful integration of Terminix

Market is too pessimistic of Terminix acquisition failing

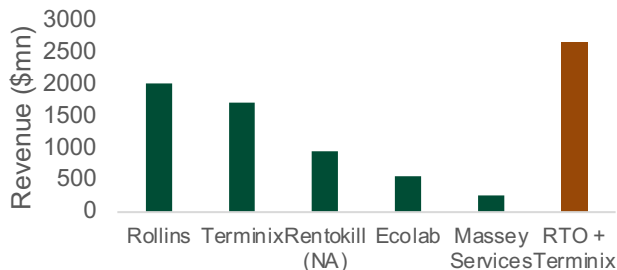


Employee retention: Low hanging synergies



- Increased employee retention rates will lead to higher customer retention
- RTO has ~80% employee retention, with Terminix historically significantly lower, currently at 64% since acquisitions
- Customer retention growth leads to higher revenue growth + ability to pass on costs

Increasing margins: scale brings more power

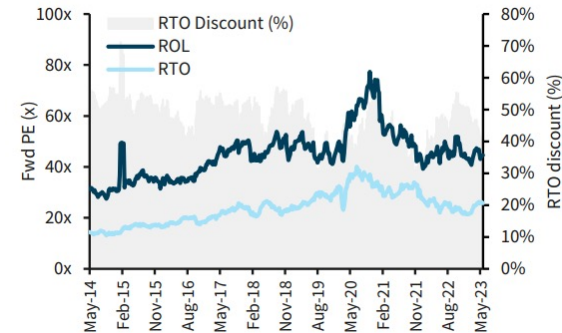


- Increasing monopoly power: lack of alternatives in certain NA regions
- Increasing bargaining power: RTO will now be single largest buyer of pest control supplies leading to falling COGS.

A successfully integrated company could be

Summary (\$m)	FY19	FY20	FY21	FY22	CAGR (13-22)
Organic growth					
Rentokil	4.5%	2.2%	2.9%	4.2%	2.8%
Rollins	4.8%	3.8%	9.5%	7.8%	5.4%
Operating margin					
Rentokil	13.5%	13.6%	14.9%	15.4%	13.6%
Rollins	15.7%	17.0%	18.1%	18.3%	16.6%
North America Op margin					
Rentokil	14.2%	17.5%	16.7%	17.0%	14.2%
Rollins	15.7%	17.0%	18.1%	18.3%	16.6%
FCF conversion					
Rentokil	94%	118%	101%	92%	80.4%
Rollins	144%	158%	107%	118%	121.8%

Market does not agree on the transition



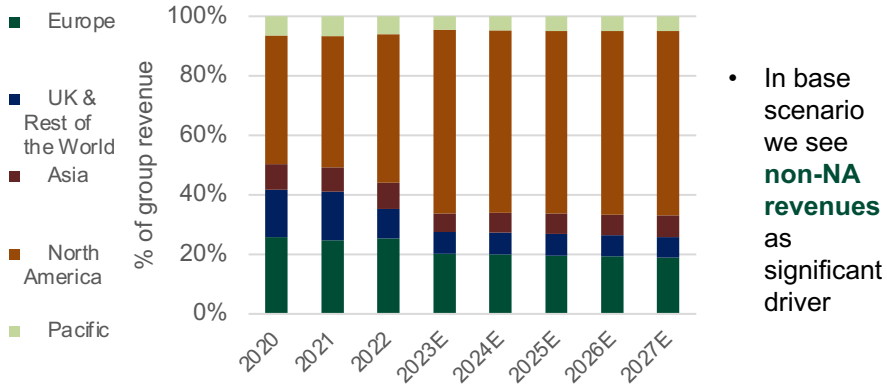
- RTO trading at >40% discount to ROL,
- RTO transitioning to NA leader has a huge opportunity

Rollins (ROL) = More of a pure play North American pest control business

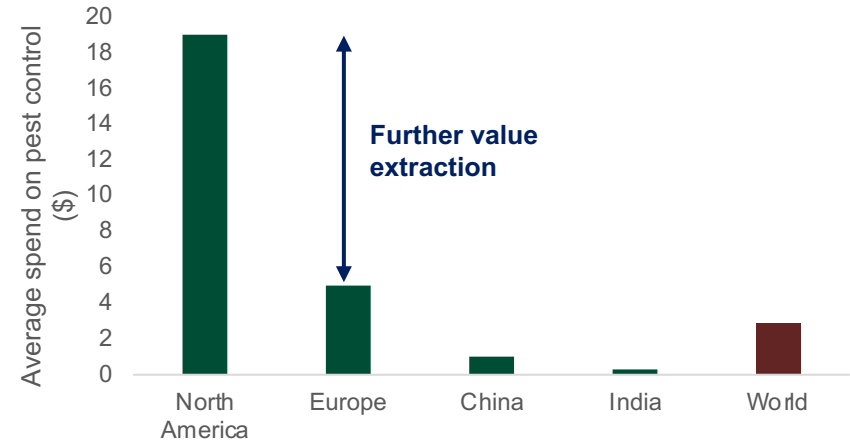
3) Growth in markets outside the US

The market is focusing on the US when future value creation is also outside

Outside NA will always be significant

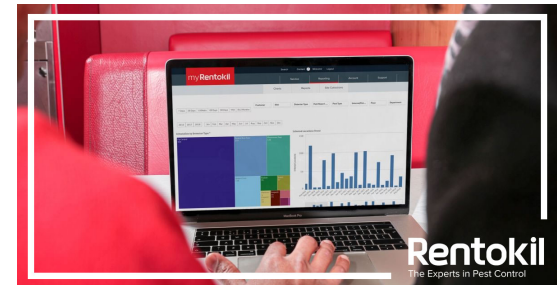


Clear opportunities outside NA



Technology innovation opportunities

- **Creating subscription-based model:** MyRentokil allows 24/7 data and service information for customers. Pest control can be automatically triggered from here
- **Automatic detection systems:** using camera systems with machine learning to automatically detect pests and send a response team.



Business plan

Our base case scenario model outputs

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Key assumptions

1 Revenue

- Revenue expected to slow down to typical organic growth rate following acquisition of Terminix

2 Opex

- Large growth initially to support acquisitions but then returns to normal averages

3 EBITDA

- EBITDA doubling following M&A activity followed by return to normal growth levels. Margin expansion from 21% to 28% post integration of Terminix

4 Capex

- Return to normal pattern of capex after 2022 following acquisition of Terminix

5 Debt

- No further debt proceeds raised after 2022 with predictable repayment schedule

£m	2022A	2023E	2024E	2025E	2026E	2027E	2023-2027
P&L							CAGR
Organic growth	4.2%	4.9%	3.5%	4.7%	5.0%	5.0%	
M&A growth	14.9%	42.2%	2.0%	0.0%	0.0%	0.0%	
Revenue	3,714	5,436	5,806	6,079	6,384	6,705	15.9%
% growth	25.6%	46.4%	6.8%	4.7%	5.0%	5.0%	
COGS	(909)	(1,359)	(1,452)	(1,520)	(1,596)	(1,676)	16.5%
SG&A	(2,094)	(2,775)	(2,895)	(2,944)	(2,925)	(3,069)	10.0%
OPEX	(3,003)	(4,134)	(4,346)	(4,463)	(4,521)	(4,746)	12.1%
% growth	30.42%	37.67%	5.13%	2.69%	1.30%	4.96%	
EBITDA	560	1,180	1,376	1,565	1,825	1,920	36.1%
% margin	15.1%	21.7%	23.7%	25.7%	28.6%	28.6%	
Cash flow generation							
EBITDA	560	1,180	1,376	1,565	1,825	1,920	
Tax	(77)	(97)	(142)	(193)	(254)	(275)	
Change in NWC	(19)	129	15	28	30	33	
Capex	(1,202)	(450)	(298)	(298)	(292)	(305)	
Change in net debt	1,324	(329)	(279)	(314)	(354)	(408)	
Net interest	(39)	(165)	(155)	(142)	(126)	(109)	
FCFE	547	268	516	646	827	855	

Valuation

“Price is what you pay, value is what you get” Buffet

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£m unless otherwise stated	Forecast period				
	2023	2024	2025	2026	2027
EBITDA	1,180	1,376	1,565	1,825	1,920
(-) Tax	(97)	(142)	(193)	(254)	(275)
(-) Capex	(450)	(298)	(298)	(292)	(305)
(-) Change in NWC	(129)	(15)	(28)	(30)	(33)
FCF (Unlevered)	504	920	1,046	1,247	1,306
Discounted cash flows	469	799	847	941	918
Discounted TV					17,631

EV	21,605
Net debt	3,297
Equity value	18,308
NOSH m	2,520
Price per share £	7.26
Current share price £	4.68
Base case % upside	55.13%

Valuation assumptions	
Perpetual growth rate	2.00%
Cost of equity	8.11%
Cost of Debt	5.40%
Weight of equity	70.54%
Weight of debt	29.46%
WACC	7.31%

WACC assumptions	
Beta (5yr)	0.52
Risk free rate	4.65%
Risk premium	6.65%
Tax	25.00%

Sensitivity analysis

“Price is what you pay, value is what you get” Buffet

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Base

- **Low single digit growth** in established geographies such as NA and Europe (~5%) in the next 5 years in line with broader market averages
- **High single digit growth** in Asia and Pacific regions reflecting economic development and increase in **food and hygiene standards (6-8%)**
- Margins are primarily maintained at current levels with **slight margin expansion** in emerging markets and NA due to synergies from M&A activity

Bull

- **Low single digit growth** in established geographies such as NA and Europe (3-5%) in the next 5 years
- **High growth in Asia and Pacific regions (8-12%)** with hygiene and wellbeing segment driving growth due to increased **food and hygiene standards**
- **Margin expansion** from advancements in pest and termite control **technology** in established regions. Value creation from use of cash in acquisitions to **consolidate fragmented market**

Bear

- **Slower growth in emerging markets** in line with develop business regions (4-5%)
- Slight **margin contractions** due to geopolitical tension in Asia as well as worries of an **economic slowdown**
- Moderate growth in established regions (2-3%) as Rentokil does not **capitalise on NA market leadership** (~31% market share), with Terminix acquisition **not providing synergies**
- No M&A activity due to **high rates environment**

Perpetual Growth Rate %

		1.00%	1.50%	2.00%	2.50%	3.00%
WACC %	8.31%	7.33%	15.40%	24.76%	35.73%	48.76%
	7.81%	17.93%	27.46%	38.64%	51.91%	67.95%
	7.31%	30.23%	41.61%	55.13%	71.47%	91.60%
	6.81%	44.65%	58.43%	75.08%	95.58%	121.47%
	6.31%	61.81%	78.77%	99.66%	126.04%	160.39%

% upside

EV/EBITDA

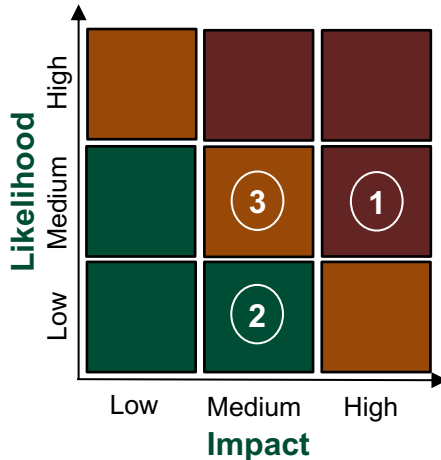
		11.00x	11.50x	12.00x	12.50x	13.00x
Scenario	Bull	54.46%	62.50%	70.53%	78.57%	86.61%
	Base	47.21%	54.98%	62.74%	70.50%	78.26%
	Bear	4.00%	9.88%	15.76%	21.64%	27.52%

% upside

Key Risks

How Rentokil is navigating the difficult times ahead

Risk Matrix



Risk 1:

- 53 acquisitions in 2022 alone
- Largest acquisition was Terminix for \$4.5 bn

Potential Impacts:

- Business may not achieve expected financial and operational benefits of acquisitions
- Business may be subject to asset re-evaluations or downgrades

Mitigating Actions:

- Dedicated project teams
- Deferred consideration to mitigate risks
- IT integration playbook
- Post-acquisition reviews

Risk 2:

- Terminix acquisition debt financed with 3 bonds placed in 06/22:
 - €850 m 5-year at 3.875%
 - €600 m 8-year at 4.375%
 - £400 m 10-year at 5%

Potential Impacts:

- Credit rating downgrade
- Higher cost of capital
- Decline in stock price
- Difficulty in maintaining strong customer base

Mitigating Actions:

- No unhedged FX positions above £500k
- Cutting costs if needed
- Pausing M&A activity if needed

Risk 3:

- Interest rates maintained at 5.25%
- Climate change legislation introduced in multiple key markets

Potential Impacts:

- High costs of doing business
- Climate change legislation may limit license to operate
- Potential pricing out customers
- Negatively affected credit rating

Mitigating Actions:

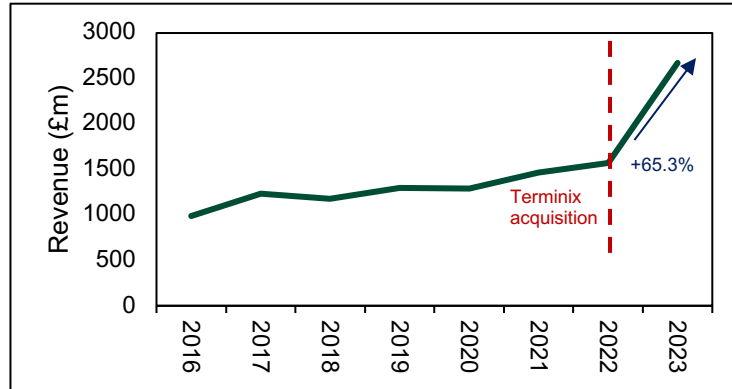
- Leverage size to expand
- Ensuring sufficient financial headroom through financing
- Limit use of FX and interest rate derivatives

- ① - Failing to correctly integrate acquisitions
- ② - Struggling to pay off large sums of debt
- ③ - Navigating difficult market conditions

Risk Mitigation Efforts Realised

A snapshot at the risk management efforts by the company as per their 2023 interim report

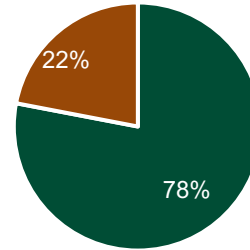
Strong financial performance



- **Revenue up 65.3%:** Reflects benefit of M&A, including Terminix
- **Organic Revenue growth of 5.9%:** Driven by underlying demand and continued effective pricing
- **Progress on Terminix integration:**
 - \$37m pre-tax P&L cost synergies achieved in H1 23, on track to deliver \$60m yearly in FY 23
 - Terminix employee retention up by 3.7% to 67.7%

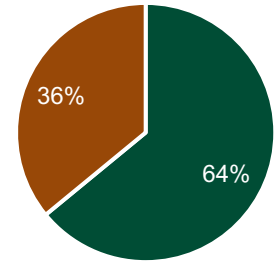
Effective deleveraging of debt

2022 H1 Assets



■ Debt ■ Equity

2023 H1 Assets



■ Debt ■ Equity

- **Effective reduction in leverage:** Pro forma net debt to adjusted EBITDA at 2.8x – Down from 3.2x in FY22
- **Reduction in Net debt:** £3.27bn net debt, down from £3.30 bn in FY 22
- **Effective hedging strategy:** Group has swapped a portion of the bonds it has issued into USD – Increased the effective hedged interest rate



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Questions